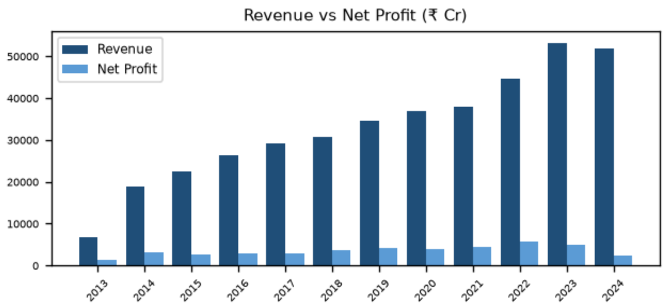
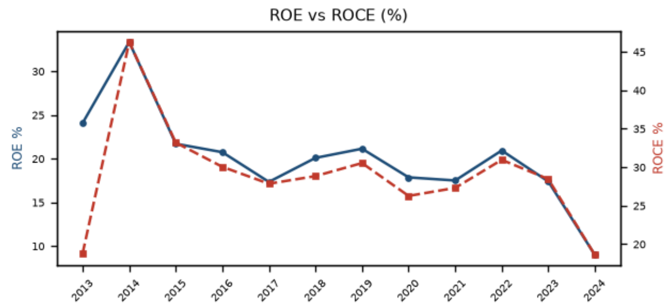
Tech Mahindra Ltd (TECHM)

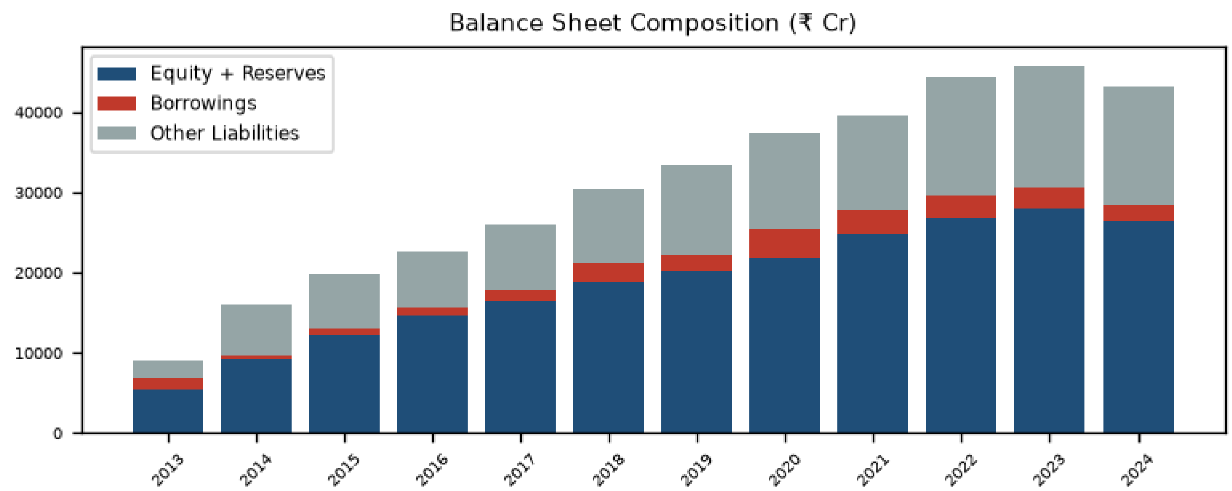
Information Technology — IT Services

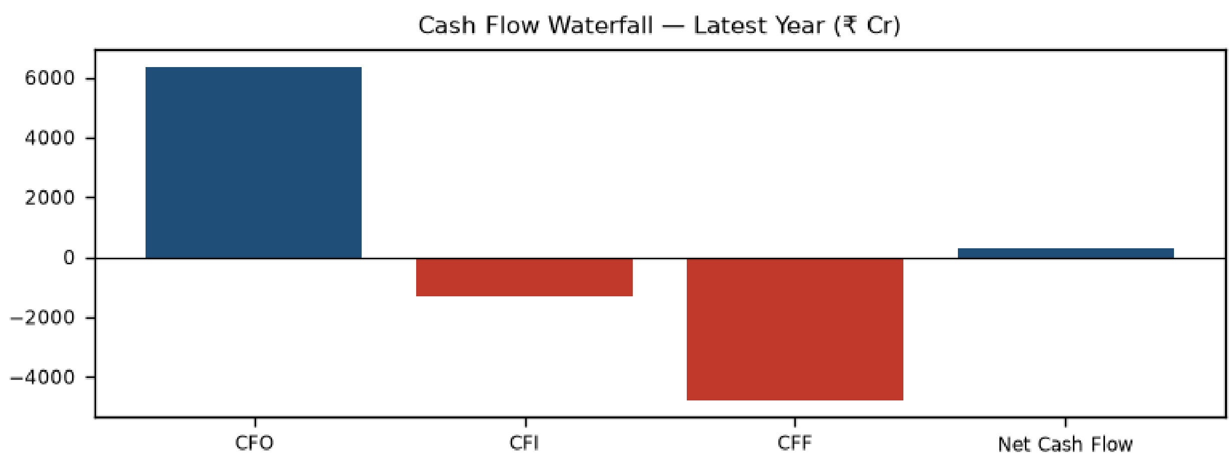
ROE	ROCE	Net Profit Margin
9.0%	18.6%	4.6%
D/E	**Revenue CAGR (5yr)**	**FCF (latest, Cr)**
0.1x	8.4%	5058





Tech Mahindra Ltd (TECHM) — Balance Sheet & Cash Flow





Capital Allocation Pattern: Shareholder Returns

Pros

✓ Strong free cash flow generation over 5 years signals healthy business fundamentals (85% confidence)
✓ Very high interest coverage ratio reflects negligible financial stress from debt servicing (64% confidence)

Cons

✗ Operating margins declining for 3 consecutive years suggest pricing or cost pressure (70% confidence)
✗ Dividend payout ratio above 100% means the company is paying dividends from reserves, which is unsustainable (70% confidence)
✗ Earnings per share declining for 3 consecutive years reflects deteriorating profitability (75% confidence)